
Financial Insights Report - Marcus T. Ellison

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Your Story

Nearly half your wealth sits in a single asset

Ellison Dynamics accounts for nearly half of your \$187 million net worth, with your ownership stake valued at about \$90 million. This concentration ties your financial future to the fortunes of a single business in a specialized sector, limiting liquidity and exposing you to risks unique to industrial automation. As you prepare for an exit, the question of how to balance diversification with the legacy of what you've built remains open.

Preserving a rare tax advantage could save millions

Your shares in Ellison Dynamics meet the criteria for QSBS eligibility, offering the potential for significant tax savings on a projected exit value of up to \$160 million. With a cost basis of just \$110,000, the exclusion could shield a meaningful portion of gains from federal taxes. Yet, structuring the deal to maintain this benefit—whether through a stock sale or alternative mechanisms—introduces complexities that could shape the final outcome.

A substantial estate tax burden looms

Your taxable estate of approximately \$178 million faces a significant federal tax liability under current rates, with nearly \$56 million potentially owed. This exposure underscores the importance of strategies that reduce the taxable estate while aligning with your vision for wealth transfer to your children. How to balance tax efficiency with fairness, especially given their lack of involvement in the business, remains a delicate question.

Philanthropy could redefine your legacy

You and your wife are exploring a donor-advised fund as a flexible way to channel your charitable intentions post-exit. This approach offers simplicity compared to a private foundation and allows for impactful giving while the fund grows over time. Yet, deciding how to structure this effort to align with your family's values and long-term vision introduces a new layer of planning.

Timing and buyer dynamics could reshape the deal

The industrial automation sector is experiencing high valuation multiples, creating a favorable window for your exit. With unsolicited offers already on the table, the tension between moving quickly versus waiting for even stronger market conditions is palpable. Adding competitive pressure between strategic and financial buyers could further elevate the outcome, but the trade-offs are far from straightforward.

Stepping away will redefine who you are

After nearly a decade of building Ellison Dynamics into a thriving business, the transition from founder to ex-operator will be deeply personal. Your children's career paths outside the business and your growing interest in philanthropy suggest a shift in focus, but what comes next remains uncertain. How to stay engaged—whether through advisory roles, charitable work, or entirely new pursuits—is a question only time will answer.

Some concerns are inferred from patterns in your data.

Executive Summary

Your financial situation presents a unique set of opportunities and challenges as you prepare for a tax-efficient exit from Ellison Dynamics within the next 12-18 months. With 48.1% of your \$187 million net worth tied to the business, addressing concentration risk is critical to achieving long-term financial stability. The Qualified Small Business Stock (QSBS) exclusion offers a significant tax advantage, potentially shielding a substantial portion of your gains from federal taxes. However, preserving QSBS eligibility will require careful structuring of the transaction.

The valuation of Ellison Dynamics, currently estimated at \$145 million, positions you well to capitalize on favorable market conditions in the industrial automation sector. Strategic timing and competitive buyer dynamics could further enhance the exit value. Post-exit, your focus will shift to diversifying your portfolio to fund your \$620,000 annual lifestyle while ensuring a sustainable legacy for your family. With a taxable estate of \$178 million, advanced estate planning strategies will be essential to mitigate federal estate tax exposure and facilitate wealth transfer to your children, who are pursuing careers outside the business.

The Exit Strategy Analysis table below highlights valuation scenarios ranging from \$98.6 million to \$174 million, with post-exit concentration risk reduced to as low as 61%. Meanwhile, the Post-Exit Asset Allocation table below outlines portfolio construction scenarios to align with your lifestyle funding goals and risk tolerance.

Core Business & Market Benchmarks

Ellison Dynamics operates in the industrial automation sector, a market characterized by increasing demand for AI-enabled solutions and software-defined platforms. Your business generates \$32 million in annual revenue and \$11.2 million in EBITDA, with a valuation of \$145 million based on current market conditions. This places your EBITDA multiple at approximately 12.9x, which aligns with mid-market benchmarks for high-growth companies in this sector.

Recent market trends indicate strong interest from strategic buyers in acquiring businesses with robust AI integration and logistics orchestration capabilities. The Exit Strategy Analysis table below underscores the importance of timing your exit to capitalize on these trends. Strategic

buyers, such as Agile Robots, are actively pursuing acquisitions to strengthen their automation capabilities, presenting a potential opportunity to create competitive tension and maximize valuation.

Liquidity & Concentration Risk

With 48.1% of your net worth tied to Ellison Dynamics, your financial portfolio is highly concentrated. This level of concentration exceeds the 25% threshold typically considered prudent for high-net-worth individuals. Diversifying your assets post-exit will be essential to mitigate sector-specific risks and enhance liquidity.

The Concentration Risk Analysis table below illustrates how your current concentration could be reduced over time through strategic diversification. Additionally, the Liquidity Timeline Analysis table below confirms that no funding gaps are projected in the years following the exit, providing reassurance that your liquidity needs can be met during the transition.

The Post-Exit Asset Allocation table below offers scenarios for constructing a diversified portfolio. Conservative, moderate, and aggressive allocations are modeled to align with your \$620,000 annual lifestyle funding goal while balancing growth and stability.

Exit & Valuation Planning

Your planned exit within 12-18 months presents an opportunity to optimize the valuation of Ellison Dynamics while preserving QSBS eligibility. The Exit Strategy Analysis table below outlines valuation scenarios ranging from \$98.6 million to \$174 million, depending on market conditions and buyer dynamics. Structuring the transaction as a stock sale, rather than an asset sale, will be critical to maintaining QSBS benefits.

Creating competitive tension between strategic and financial buyers can further enhance the exit value. Strategic buyers in the industrial automation sector are particularly interested in businesses with AI-enabled capabilities, as evidenced by recent acquisitions. Evaluating the trade-offs between a six-month timeline and a longer 12-18 month horizon will also be essential to maximize deal terms.

The Tax Optimization Strategies table below highlights the potential tax implications of various transaction structures. Net proceeds range from \$52.6 million to \$64.5 million across scenarios, emphasizing the importance of aligning the deal structure with your tax planning objectives.

Tax & Estate Planning

With a taxable estate of \$178 million, your federal estate tax exposure is significant. The Tax Optimization Strategies table below provides insights into how advanced planning strategies can reduce this liability. Techniques such as Grantor Retained Annuity Trusts (GRATs) and Intentionally Defective Grantor Trusts (IDGTs) could be employed to transfer wealth to your children while minimizing tax exposure.

Preserving QSBS eligibility during the transaction is another critical consideration. Your shares meet the five-year holding period and active-business requirements, positioning you to benefit from the QSBS exclusion. This could materially reduce federal taxes on the sale proceeds, given your low cost basis of \$110,000.

Philanthropic planning is also a priority for you and your wife. Establishing a donor-advised fund (DAF) post-exit offers a flexible and tax-efficient vehicle for charitable giving. This approach aligns with your goal of creating a meaningful impact while avoiding the administrative complexity of a private foundation.

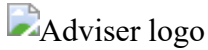
What to Discuss With Your Advisor

These are the must-know topics for your next conversation (priority order, maximum five):

- Concentration risk and illiquidity of net worth tied to Ellison Dynamics — your financial picture shows a high concentration of wealth tied to Ellison Dynamics, representing approximately 48% of your \$187 million net worth. While this....
- Tax-efficient exit planning, including QSBS eligibility preservation — your shares in Ellison Dynamics qualify for the QSBS exclusion, given the five-year holding period and C-Corp structure. With a very low cost basis of \$110,000....
- Estate tax exposure and wealth transfer planning — with a taxable estate of approximately \$178 million, your federal estate tax liability will be substantial under current rates. It is essential to explore wealt....
- Philanthropic planning post-exit — you and your wife are considering establishing a donor-advised fund (DAF) as a vehicle for charitable giving after the exit. This approach offers flexibility, l....

- Market timing and competitive buyer tension to maximize exit value — given the high multiples currently being paid in the industrial automation sector, timing your exit to capitalize on favorable market conditions is a strategic....

A Note From Your Adviser



Acme Wealth Partners Jane Smith 212 555 0100 · jane.smith@acmewealth.com

Ready to talk through what this means for your next steps? I'm here.

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Exit Strategy Analysis

Compare U.S. Business Exit Scenarios With Valuation Ranges And Tax Implications

Exit Scenario	Valuation	After Tax Proceeds	QSBS Savings	Post-Exit Concentration %
Strategic Sale	\$116,000,000	\$42,713,690	\$3,180,000	69.40%
Strategic Sale	\$145,000,000	\$52,584,710	\$3,180,000	64.90%
Strategic Sale	\$174,000,000	\$62,455,730	\$3,180,000	60.90%
Private Equity Recapitalization	\$110,200,000	\$40,739,486	\$3,180,000	70.40%
Private Equity Recapitalization	\$137,750,000	\$50,116,955	\$3,180,000	66.00%
Private Equity Recapitalization	\$165,300,000	\$59,494,424	\$3,180,000	62.00%
Management Buyout	\$98,600,000	\$36,791,078	\$3,180,000	72.50%
Management Buyout	\$123,250,000	\$45,181,445	\$3,180,000	68.20%
Management Buyout	\$147,900,000	\$53,571,812	\$3,180,000	64.40%
ESOP Transition	\$104,400,000	\$38,765,282	\$3,180,000	71.50%
ESOP Transition	\$130,500,000	\$47,649,200	\$3,180,000	67.10%
ESOP Transition	\$156,600,000	\$56,533,118	\$3,180,000	63.20%

Tax Optimization Strategies

Compare Tax Strategies Across Regulatory Scenarios For U.S. Business Owners

Strategy	Tax Scenario	Tax Liability	Net Proceeds	Effective Tax Rate
QSBS Exclusion	Current Law	37,315,290	\$52,584,710	41.50
QSBS Exclusion	2026 Changes	37,315,290	\$52,584,710	41.50
QSBS Exclusion	State Variations	37,315,290	\$52,584,710	41.50
QBI Deduction Optimization	Current Law	N/A	N/A	N/A
QBI Deduction Optimization	2026 Changes	N/A	N/A	N/A
QBI Deduction Optimization	State Variations	N/A	N/A	N/A
Installment Sale Deferral	Current Law	N/A	N/A	N/A
Installment Sale Deferral	2026 Changes	N/A	N/A	N/A
Installment Sale Deferral	State Variations	N/A	N/A	N/A
Charitable Remainder Trust	Current Law	N/A	N/A	N/A
Charitable Remainder Trust	2026 Changes	N/A	N/A	N/A
Charitable Remainder Trust	State Variations	N/A	N/A	N/A
QSBS + Relocation	Current Law	25,373,220	\$64,526,780	28.20
QSBS + Relocation	2026 Changes	25,373,220	\$64,526,780	28.20
QSBS + Relocation	State Variations	25,373,220	\$64,526,780	28.20
QSBS + Charitable Deduction	Current Law	N/A	N/A	N/A
QSBS + Charitable Deduction	2026 Changes	N/A	N/A	N/A
QSBS + Charitable Deduction	State Variations	N/A	N/A	N/A

Post-Exit Asset Allocation

Portfolio Construction Scenarios With Expected Returns And Risk Metrics

Asset Class	Allocation Style	Allocation Percent	Amount	Expected Return	Volatility
Public Equity	Conservative	25.00%	\$46,750,000	8	16
Private Business Equity	Conservative	20.00%	\$37,400,000	12	25
Fixed Income	Conservative	35.00%	\$65,450,000	4	5
Real Estate	Conservative	15.00%	\$28,050,000	7	12
Cash	Conservative	5.00%	\$9,350,000	2	1
PORTFOLIO TOTAL	Conservative	100.00%	\$187,000,000	7	0
Public Equity	Moderate	35.00%	\$65,450,000	8	16
Private Business Equity	Moderate	30.00%	\$56,100,000	12	25
Fixed Income	Moderate	20.00%	\$37,400,000	4	5
Real Estate	Moderate	10.00%	\$18,700,000	7	12
Cash	Moderate	5.00%	\$9,350,000	2	1
PORTFOLIO TOTAL	Moderate	100.00%	\$187,000,000	8	0
Public Equity	Aggressive	30.00%	\$56,100,000	8	16
Private Business Equity	Aggressive	45.00%	\$84,150,000	12	25
Fixed Income	Aggressive	10.00%	\$18,700,000	4	5
Real Estate	Aggressive	10.00%	\$18,700,000	7	12
Cash	Aggressive	5.00%	\$9,350,000	2	1
PORTFOLIO TOTAL	Aggressive	100.00%	\$187,000,000	9	0

Concentration Risk Analysis

Track Business Concentration Risk Reduction Over Time

Timeframe	Strategy	Diversified Amount	Remaining Concentration	Concentration Percent
Current	Gradual Diversification	\$0	89900000.00	48.10%
Year 1	Gradual Diversification	\$8,990,000	80910000.00	43.30%
Year 2	Gradual Diversification	\$17,081,000	72819000.00	38.90%
Year 3	Gradual Diversification	\$24,362,900	65537100.00	35.00%
Year 4	Gradual Diversification	\$30,916,610	58983390.00	31.50%
Year 5	Gradual Diversification	\$36,814,949	53085051.00	28.40%
Year 6	Gradual Diversification	\$42,123,454	47776546.00	25.50%
Year 7	Gradual Diversification	\$46,901,109	42998891.00	23.00%
Year 8	Gradual Diversification	\$51,200,998	38699002.00	20.70%
Year 9	Gradual Diversification	\$55,070,898	34829102.00	18.60%
Year 10	Gradual Diversification	\$58,553,808	31346192.00	16.80%
Current	Moderate Diversification	\$0	89900000.00	48.10%
Year 1	Moderate Diversification	\$17,980,000	71920000.00	38.50%
Year 2	Moderate Diversification	\$32,364,000	57536000.00	30.80%
Year 3	Moderate Diversification	\$43,871,200	46028800.00	24.60%
Year 4	Moderate Diversification	\$53,076,960	36823040.00	19.70%
Year 5	Moderate Diversification	\$60,441,568	29458432.00	15.80%
Year 6	Moderate Diversification	\$66,333,254	23566746.00	12.60%
Year 7	Moderate Diversification	\$71,046,604	18853396.00	10.10%
Year 8	Moderate Diversification	\$74,817,283	15082717.00	8.10%
Year 9	Moderate Diversification	\$77,833,826	12066174.00	6.50%
Year 10	Moderate Diversification	\$80,247,061	9652939.00	5.20%
Current	Aggressive Diversification	\$0	89900000.00	48.10%
Year 1	Aggressive Diversification	\$26,970,000	62930000.00	33.70%
Year 2	Aggressive Diversification	\$45,849,000	44051000.00	23.60%
Year 3	Aggressive Diversification	\$59,064,300	30835700.00	16.50%
Year 4	Aggressive Diversification	\$68,315,010	21584990.00	11.50%
Year 5	Aggressive Diversification	\$74,790,507	15109493.00	8.10%
Year 6	Aggressive Diversification	\$79,323,355	10576645.00	5.70%

Timeframe	Strategy	Diversified Amount	Remaining Concentration	Concentration Percent
Year 7	Aggressive Diversification	\$82,496,348	7403652.00	4.00%
Year 8	Aggressive Diversification	\$84,717,444	5182556.00	2.80%
Year 9	Aggressive Diversification	\$86,272,211	3627789.00	1.90%
Year 10	Aggressive Diversification	\$87,360,548	2539452.00	1.40%

Liquidity Timeline Analysis

Project Funding Needs And Liquidity Gaps Over Time For Business Owners

Funding Need	Year	Required Amount	Available Cash	Funding Gap
Lifestyle	2026	\$6,170,000	\$56,784,710	Surplus: \$50,614,710
Lifestyle	2027	\$6,185,500	\$54,305,716.15	Surplus: \$48,120,216.15
Lifestyle	2028	\$6,201,387.5	\$51,650,087.7	Surplus: \$45,448,700.2
Lifestyle	2029	\$6,217,672.19	\$48,805,955.9	Surplus: \$42,588,283.71
Lifestyle	2030	\$6,234,363.99	\$45,760,670.85	Surplus: \$39,526,306.85
Lifestyle	2031	\$6,251,473.09	\$42,500,750.46	Surplus: \$36,249,277.37